

THANK YOU FOR BEING  
OUR POLICYHOLDER





**NAVIGATORS SPECIALTY INSURANCE  
COMPANY  
1 Penn Plaza, New York, New York  
10119**

**THIS POLICY CONSISTS OF:**

- **DECLARATIONS**
- **ONE OR MORE COVERAGES OR COVERAGE PARTS. A COVERAGE OR COVERAGE PART CONSISTS OF:**
  - **ONE OR MORE COVERAGE FORMS**
  - **APPLICABLE FORMS AND ENDORSEMENTS**

Policyholder Disclosure: The insurance referenced herein is provided on a surplus lines basis. The insurance company listed above and on the Declarations of this policy is not licensed in the state in which the policy will be delivered, but is an approved non-admitted insurer. Accordingly, there may not be any protection to the insured(s) under the state Insurance Guarantee Fund or Insurer Insolvency Fund, if applicable. Please consult your insurance broker with any questions on surplus lines coverage, non - admitted insurance, and/or state insurance guarantee or insolvency funds.

**NAV NSIC ENV POLICY JCKT (01/21)**



**TOLL –FREE EMERGENCY**  
**SPILL RESPONSE SUPPORT**  
**HOTLINE**

**877 – NAVG – ENV \***  
**(6284) (368)**

**ALERT Local Emergency Response Services**  
**Follow Your Company's Emergency Response Procedures**  
**Receive Assistance from Navigators Environmental Hotline**

As a Navigators Environmental insured, you have access to our 24/7 emergency spill response support hotline to assist you in the event of an emergency involving the release of pollutants. Please be prepared to relay critical information to the system administrator, including location and nature of the release and response steps taken.

**Q: What is Navigators Environmental  
Emergency Spill Response Hotline?**

A: Navigators environmental emergency spill response hotline provides access to valuable guidance and advice during an emergency involving the release of pollutants, including response oversight and assistance in selection of an Environmental Remediation Contractor.

**Q: What are my responsibilities?**

A: Incident response is your responsibility. Using the response hotline does not take the place of prudent response steps, including notification of local authorities and following your company's emergency procedures.

**Q: If I call the hotline, does that satisfy my  
claim reporting requirements?**

A: No, it does not satisfy your claim reporting requirements. Please refer to your policy for Procedures When Reporting a Claim to Us.

**Q. Does the policy pay for these services?**

A: Access to the hotline for assistance in selecting a remediation consultant and guidance on an appropriate response is free to Navigators Environmental insureds. If remediation is required, you must contract directly with an environmental consultant for such services. Whether coverage applies to any claim will be determined by a review of the incident details and your insurance policy by Navigators Claims Department.

**Q. Who Answers the Call?**

A: Navigators Environmental has selected Hydro-Environmental Technologies, Inc. (HETI), to administer our emergency response hotline. HETI is a full service environmental company with highly skilled and knowledgeable staff of environmental consultants and engineers. HETI has been responding to environmental crises since 1986 with a track record of professionalism and expertise.

**\* Pre-printed labels are available to include in your corporate Emergency Response Plan or to place in vehicles. Please contact your underwriter or email [envendorsements@navg.com](mailto:envendorsements@navg.com).**

*The material in this policyholder disclosure does not bind the company in any manner. This policyholder disclosure is provided for informational purposes only, and is not intended to be a representation of coverage that may exist in any particular situation under a policy issued by Navigators Insurance Company or its wholly owned subsidiary, Navigators Specialty Insurance Company. All conditions of coverage, terms and limitations are defined and provided for in the policy. Programs or products may not be available in all states and policy features may vary by state. Please consult your insurance broker and review the policy for coverage limitations, restrictions, exclusions, terms and conditions.*

## COMMON POLICY DECLARATIONS

POLICY NUMBER: SF25ECPU00909NC

COVERAGE IS PROVIDED BY



### Navigators Specialty Insurance Company

One Penn Plaza, New York, NY 10119

|                                    |                                                                                                             |
|------------------------------------|-------------------------------------------------------------------------------------------------------------|
| <b>ITEM 1. NAMED INSURED</b>       | Canopy Roofing, LLC dba Lyons Roofing                                                                       |
| Mailing Address:                   | 878 West Illini St.<br>Phoenix, AZ 85041                                                                    |
| <b>ITEM 2. POLICY PERIOD</b>       | From: 10/16/2025 To: 10/16/2026<br><b>at 12:01 A.M., Standard Time at your mailing address shown above.</b> |
| Agent or Broker<br>Office Address: | UCPM, LLC.<br>3345 S. Val Vista Dr. #300<br>Gilbert, Arizona 85297                                          |

In return for the payment of premium and subject to all the terms of this policy, we agree with you to provide the insurance as stated in this policy.

THIS POLICY CONSISTS OF THE FOLLOWING COVERAGE PARTS FOR WHICH A LIMIT IS INDICATED. WHERE NO LIMIT IS SHOWN, THERE IS NO COVERAGE.

| <b>ITEM 3. LIMIT OF LIABILITY, DEDUCTIBLE:</b>                                                            |            |                               |                                           |
|-----------------------------------------------------------------------------------------------------------|------------|-------------------------------|-------------------------------------------|
| COVERAGE SECTION                                                                                          | DEDUCTIBLE | EACH INCIDENT LIMIT           | AGGREGATE LIMIT                           |
| <b>A. OPERATIONS POLLUTION LIABILITY</b>                                                                  | \$10,000   | \$1,000,000                   | \$1,000,000                               |
| <b>B. SITE POLLUTION LIABILITY</b>                                                                        | \$25,000   | \$1,000,000                   | \$1,000,000                               |
| <b>C. ENVIRONMENTAL CRISIS MANAGEMENT</b>                                                                 | N/A        | \$50,000                      | \$50,000                                  |
|                                                                                                           |            |                               | <b>POLICY AGGREGATE LIMIT \$1,000,000</b> |
| <b>ITEM 4. INSURED SITE(S):</b> See NENV 8120 03/13 – Schedule of Insured Site Endorsement, If applicable |            |                               |                                           |
| <b>ITEM 5. POLICY PREMIUM</b>                                                                             |            |                               |                                           |
| Total Premium shown is payable at Policy Inception                                                        |            |                               |                                           |
|                                                                                                           |            | <b>MINIMUM EARNED PREMIUM</b> | 25%                                       |
|                                                                                                           |            | <b>TOTAL PREMIUM</b>          | \$5,966.00                                |
|                                                                                                           |            | <b>TRIA PREMIUM</b>           | Excluded                                  |

THESE POLICY DECLARATIONS AND THE SUPPLEMENTAL DECLARATIONS TOGETHER WITH THE COMMON POLICY CONDITIONS, COVERAGE FORM(S) AND FORMS AND ENDORSEMENTS, IF ANY, COMPLETE THE ABOVE NUMBERED POLICY.

COUNTERSIGNED :

Date:

10/16/2025

BY:

Pursuant to Arizona Revised Statutes Section 20-401.1, Sub-Section B, Paragraph 1, this policy is issued by an insurer that does not possess a certificate of authority from the Director of the Arizona Department of Insurance and Financial Institutions. If the insurer that issued this policy becomes insolvent, insureds or claimants will not be eligible for insurance guaranty fund protection pursuant to Arizona Revised Statutes Title 20

AUTHORIZED REPRESENTATIVE

Surplus Lines Tax: \$195.48  
Stamping Fee: \$13.03  
Program Fee: \$550.00



# NOTICE OF CLAIM FORM

**Please send notification to:**

**Email:** newloss@navg.com

**Mail:** Navigators Insurance  
Attn: Claims Department  
83 Wooster Heights Road  
Danbury, CT06810  
Telephone: 855-444-4796

UCPM CLAIMS  
ADVOCACY IS READY  
TO HELP. PLEASE COPY  
[claims@ucpm.com](mailto:claims@ucpm.com)  
ON ALL CLAIMS  
CORRESPONDENCE.

## PLEASE SUBMIT ALL RELATED CORRESPONDENCE AND DOCUMENTATION RELATING TO THIS NOTICE

**Date of Notice:**

**Policy Number:**

SF25ECPU00909NC

**Broker Name:**

Address:

Email:

Contact:

Telephone:

**Policy Period:**

From: 10/16/2025 12:00:00 AM

To: 10/16/2026 12:00:00 AM

**Named Insured:**

Insured Address:

Email:

Contact:

Telephone:

## LOSS INFORMATION

**Claimant:**

Claimant Address:

Email:

Contact:

Telephone:

**Loss Date:**

**Loss Location:**

**Loss Description:**

*Internal Use Only:* Date Received: \_\_\_\_\_

## **OFAC ENDORSEMENT**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

### **U.S. ECONOMIC AND TRADE SANCTIONS LIMITATIONS CLAUSE**

No insurer shall be deemed to provide cover and no insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that insurer to any sanction, prohibition or restriction under the trade or economic sanctions, laws or regulations of the United States of America.

The United States of America trade or economic sanctions, laws or regulations shall include, but not be limited to, those sanctions administered and enforced by the U.S. Treasury Department's Office of Foreign Assets Control (OFAC).

All other terms, conditions and exclusions of this Policy remain unchanged.

## **FRAUD WARNINGSNOTICE**

**NOTICE TO ALABAMA APPLICANTS:** ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR WHO KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO RESTITUTION, FINES OR CONFINEMENT IN PRISON, OR ANY COMBINATION THEREOF.

**NOTICE TO ARKANSAS APPLICANTS:** "ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT, OR KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN PRISON."

**NOTICE TO CALIFORNIA APPLICANTS:** FOR YOUR PROTECTION, CALIFORNIA LAW REQUIRES THAT YOU BE MADE AWARE OF THE FOLLOWING: ANY PERSON WHO KNOWINGLY PRESENTS FALSE OR FRAUDULENT CLAIM FOR THE PAYMENT OF A LOSS IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN STATE PRISON.

**NOTICE TO COLORADO APPLICANTS:** "IT IS UNLAWFUL TO KNOWINGLY PROVIDE FALSE, INCOMPLETE, OR MISLEADING FACTS OR INFORMATION TO AN INSURANCE COMPANY FOR THE PURPOSE OF DEFRAUDING OR ATTEMPTING TO DEFRAUD THE COMPANY. PENALTIES MAY INCLUDE IMPRISONMENT, FINES, DENIAL OF INSURANCE, AND CIVIL DAMAGES. ANY INSURANCE COMPANY OR AGENT OF AN INSURANCE COMPANY WHO KNOWINGLY PROVIDES FALSE, INCOMPLETE, OR MISLEADING FACTS OR INFORMATION TO A POLICYHOLDER OR CLAIMANT FOR THE PURPOSE OF DEFRAUDING OR ATTEMPTING TO DEFRAUD THE POLICYHOLDER OR CLAIMANT WITH REGARD TO A SETTLEMENT OR AWARD PAYABLE FROM INSURANCE PROCEEDS SHALL BE REPORTED TO THE COLORADO DIVISION OF INSURANCE WITHIN THE DEPARTMENT OF REGULATORY AGENCIES."

**NOTICE TO DISTRICT OF COLUMBIA APPLICANTS:** "WARNING: IT IS A CRIME TO PROVIDE FALSE OR MISLEADING INFORMATION TO AN INSURER FOR THE PURPOSE OF DEFRAUDING THE INSURER OR ANY OTHER PERSON. PENALTIES INCLUDE IMPRISONMENT AND/OR FINES. IN ADDITION, AN INSURER MAY DENY INSURANCE BENEFITS IF FALSE INFORMATION MATERIALLY RELATED TO A CLAIM WAS PROVIDED BY THE APPLICANT."

**NOTICE TO FLORIDA APPLICANTS:** "ANY PERSON WHO KNOWINGLY AND WITH INTENT TO INJURE, DEFRAUD, OR DECEIVE ANY INSURER FILES A STATEMENT OF CLAIM OR AN APPLICATION CONTAINING ANY FALSE, INCOMPLETE OR MISLEADING INFORMATION IS GUILTY OF A FELONY OF THE THIRD DEGREE."

**NOTICE TO HAWAII APPLICANTS:** "INTENTIONALLY OR KNOWINGLY MISREPRESENTING OR CONCEALING A MATERIAL FACT, OPINION OR INTENTION TO OBTAIN COVERAGE, BENEFITS, RECOVERY OR COMPENSATION WHEN PRESENTING AN APPLICATION FOR THE ISSUANCE OR RENEWAL OF AN INSURANCE POLICY OR WHEN PRESENTING A CLAIM FOR THE PAYMENT OF A LOSS IS A CRIMINAL OFFENSE PUNISHABLE BY FINES OR IMPRISONMENT, OR BOTH."

**NOTICE TO KANSAS APPLICANTS:** ANY PERSON WHO COMMITS A FRAUDULENT INSURANCE ACT IS GUILTY OF A CRIME AND MAY BE SUBJECT TO RESTITUTION, FINES AND CONFINEMENT IN PRISON. A FRAUDULENT INSURANCE ACT MEANS AN ACT COMMITTED BY ANY PERSON WHO, KNOWINGLY AND WITH INTENT TO DEFRAUD, PRESENTS, CAUSES TO BE PRESENTED OR PREPARES WITH KNOWLEDGE OR BELIEF THAT IT WILL BE PRESENTED TO OR BY AN INSURER, PURPORTED INSURER OR INSURANCE AGENT OR BROKER, ANY WRITTEN, ELECTRONIC, ELECTRONIC IMPULSE, FACSIMILE, MAGNETIC, ORAL, OR TELEPHONIC COMMUNICATION OR STATEMENT AS PART OF, OR IN SUPPORT OF, AN APPLICATION FOR INSURANCE, OR THE RATING OF AN INSURANCE POLICY, OR A CLAIM FOR PAYMENT OR OTHER BENEFIT UNDER AN INSURANCE POLICY, WHICH SUCH PERSON KNOWS TO CONTAIN MATERIALLY FALSE INFORMATION CONCERNING ANY MATERIAL FACT THERETO; OR CONCEALS, FOR THE PURPOSE OF MISLEADING, INFORMATION CONCERNING ANY FACT MATERIAL THERETO.

**NOTICE TO KENTUCKY APPLICANTS:** "ANY PERSON WHO KNOWINGLY AND WITH INTENT TO DEFRAUD ANY INSURANCE COMPANY OR OTHER PERSON FILES AN APPLICATION FOR INSURANCE CONTAINING ANY MATERIALLY FALSE INFORMATION, OR CONCEALS FOR THE PURPOSE OF MISLEADING, INFORMATION CONCERNING ANY FACT MATERIAL THERETO, COMMITS A FRAUDULENT INSURANCE ACT, WHICH IS A CRIME."

**NOTICE TO LOUISIANA APPLICANTS:** "ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT, OR KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN PRISON."

**NOTICE TO MAINE APPLICANTS:** "IT IS A CRIME TO KNOWINGLY PROVIDE FALSE, INCOMPLETE OR MISLEADING INFORMATION TO AN INSURANCE COMPANY FOR THE PURPOSE OF DEFRAUDING THE COMPANY. PENALTIES MAY INCLUDE IMPRISONMENT, FINES OR A DENIAL OF INSURANCE BENEFITS."

**NOTICE TO MARYLAND APPLICANTS:** ANY PERSON WHO KNOWINGLY OR WILLFULLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR WHO KNOWINGLY OR WILLFULLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN PRISON.

**NOTICE TO MINNESOTA APPLICANTS:** A PERSON WHO FILES A CLAIM WITH INTENT TO DEFRAUD OR HELPS COMMIT A FRAUD AGAINST AN INSURER IS GUILTY OF A CRIME.

**NOTICE TO NEW JERSEY APPLICANTS:** "ANY PERSON WHO INCLUDES ANY FALSE OR MISLEADING INFORMATION ON AN APPLICATION FOR AN INSURANCE POLICY IS SUBJECT TO CRIMINAL AND CIVIL PENALTIES."

**NOTICE TO NEW MEXICO APPLICANTS:** "ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO CIVIL FINES AND CRIMINAL PENALTIES."

**NOTICE TO NEW YORK APPLICANTS:** "ANY PERSON WHO KNOWINGLY AND WITH INTENT TO DEFRAUD ANY INSURANCE COMPANY OR OTHER PERSON FILES AN APPLICATION FOR INSURANCE OR STATEMENT OF CLAIM CONTAINING ANY MATERIALLY FALSE INFORMATION, CONCEALS FOR THE PURPOSE OF MISLEADING, INFORMATION CONCERNING ANY FACT MATERIAL THERETO, COMMITS A FRAUDULENT INSURANCE ACT, WHICH IS A CRIME, AND SHALL ALSO BE SUBJECT TO A CIVIL PENALTY NOT TO EXCEED FIVE THOUSAND DOLLARS AND THE STATED VALUE OF THE CLAIM FOR EACH SUCH VIOLATION."

**NOTICE TO OHIO APPLICANTS:** "ANY PERSON WHO, WITH INTENT TO DEFRAUD OR KNOWING THAT HE IS FACILITATING A FRAUD AGAINST AN INSURER, SUBMITS AN APPLICATION OR FILES A CLAIM CONTAINING A FALSE OR DECEPTIVE STATEMENT IS GUILTY OF INSURANCE FRAUD."

**NOTICE TO OKLAHOMA APPLICANTS:** "WARNING: ANY PERSON WHO KNOWINGLY, AND WITH INTENT TO INJURE, DEFRAUD OR DECEIVE ANY INSURER, MAKES ANY CLAIM FOR THE PROCEEDS OF AN INSURANCE POLICY CONTAINING ANY FALSE, INCOMPLETE OR MISLEADING INFORMATION IS GUILTY OF A FELONY" (365:15-1-10, 36 §3613.1).

**NOTICE TO OREGON APPLICANTS:** ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR KNOWINGLY PRESENTS MATERIALLY FALSE INFORMATION IN AN APPLICATION FOR INSURANCE MAY BE GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN PRISON. IN ORDER FOR US TO DENY A CLAIM ON THE BASIS OF MISSTATEMENTS, MISREPRESENTATIONS, OMISSIONS OR CONCEALMENTS ON YOUR PART, WE MUST SHOW THAT:

A. THE MISINFORMATION IS MATERIAL TO THE CONTENT OF THE POLICY;  
B. WE RELIED UPON THE MISINFORMATION; AND  
C. THE INFORMATION WAS EITHER:

1. MATERIAL TO THE RISK ASSUMED BY US; OR
2. PROVIDED FRAUDULENTLY.

FOR REMEDIES OTHER THAN THE DENIAL OF A CLAIM, MISSTATEMENTS, MISREPRESENTATIONS, OMISSIONS OR CONCEALMENTS ON YOUR PART MUST EITHER BE FRAUDULENT OR MATERIAL TO OUR INTERESTS. WITH REGARD TO FIRE INSURANCE, IN ORDER TO TRIGGER THE RIGHT TO REMEDY, MATERIAL MISREPRESENTATIONS MUST BE WILLFUL OR INTENTIONAL. MISSTATEMENTS, MISREPRESENTATIONS, OMISSIONS OR CONCEALMENTS ON YOUR PART ARE NOT FRAUDULENT UNLESS THEY ARE MADE WITH THE INTENT TO KNOWINGLY DEFRAUD.

**NOTICE TO PENNSYLVANIA APPLICANTS:** "ANY PERSON WHO KNOWINGLY AND WITH INTENT TO DEFRAUD ANY INSURANCE COMPANY OR OTHER PERSON FILES AN APPLICATION FOR INSURANCE OR STATEMENT OF CLAIM CONTAINING ANY MATERIALLY FALSE INFORMATION OR CONCEALS FOR THE PURPOSE OF MISLEADING, INFORMATION CONCERNING ANY FACT MATERIAL THERETO, COMMITS A FRAUDULENT INSURANCE ACT, WHICH IS A CRIME AND SUBJECTS SUCH PERSON TO CRIMINAL AND CIVIL PENALTIES."

**NOTICE TO RHODE ISLAND APPLICANTS:** "ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR PAYMENT OF A LOSS OR BENEFIT OR KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN PRISON."

**NOTICE TO TENNESSEE APPLICANTS:** "IT IS A CRIME TO KNOWINGLY PROVIDE FALSE, INCOMPLETE OR MISLEADING INFORMATION TO AN INSURANCE COMPANY FOR THE PURPOSE OF DEFRAUDING THE COMPANY. PENALTIES INCLUDE IMPRISONMENT, FINES OR A DENIAL OF INSURANCE BENEFITS."

**NOTICE TO TEXAS APPLICANTS:** "ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR THE PAYMENT OF A LOSS IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN STATE PRISON."

**NOTICE TO VIRGINIA APPLICANTS:** "IT IS A CRIME TO KNOWINGLY PROVIDE FALSE, INCOMPLETE OR MISLEADING INFORMATION TO AN INSURANCE COMPANY FOR THE PURPOSE OF DEFRAUDING THE COMPANY. PENALTIES INCLUDE IMPRISONMENT, FINES AND DENIAL OF INSURANCE BENEFITS."

**NOTICE TO WASHINGTON APPLICANTS:** "IT IS A CRIME TO KNOWINGLY PROVIDE FALSE, INCOMPLETE OR MISLEADING INFORMATION TO AN INSURANCE COMPANY FOR THE PURPOSE OF DEFRAUDING THE COMPANY. PENALTIES MAY INCLUDE IMPRISONMENT, FINES OR A DENIAL OF INSURANCE BENEFITS."

**NOTICE TO WEST VIRGINIA:** "ANY PERSON WHO KNOWINGLY PRESENTS A FALSE OR FRAUDULENT CLAIM FOR THE PAYMENT OF A LOSS OR THE BENEFIT OF KNOWINGLY PRESENTS FALSE INFORMATION IN AN APPLICATION FOR INSURANCE IS GUILTY OF A CRIME AND MAY BE SUBJECT TO FINES AND CONFINEMENT IN PRISON."

**NOTICE TO ALL OTHER APPLICANTS:** "IT IS A CRIME TO KNOWINGLY PROVIDE FALSE, INCOMPLETE OR MISLEADING INFORMATION TO AN INSURANCE COMPANY FOR THE PURPOSE OF DEFRAUDING THE COMPANY. PENALTIES MAY INCLUDE IMPRISONMENT, FINES OR A DENIAL OF INSURANCE BENEFITS."

## ENVIRONMENTAL POLICY

POLICY NUMBER: SF25ECPU00909NC

### SCHEDULE OF FORMS AND ENDORSEMENTS

The following are the forms attached to and forming a part of the policy at inception:

| Endt No. | Endorsement Title                                                           | Form No.                       |
|----------|-----------------------------------------------------------------------------|--------------------------------|
|          | NAV ENV Policy Jacket (Non NY)                                              | NAV NSIC ENV POLICY JCKT 01 21 |
|          | Emergency Response Policyholder Notice                                      | NAV ENV ERS 02 11              |
|          | Notice of Claim Form                                                        | NENV CN 01 04 17               |
|          | OFAC Endorsement                                                            | NAV ML 002 11 12               |
|          | Fraud Warnings Notice                                                       | NENV FRAUD 07 16               |
|          | Common Policy Declarations                                                  | NAV ECP O TLKT II DEC 03 13    |
|          | Schedule of Forms and Endorsements                                          | NENV FORMS LIST 01 03 13       |
|          | Contractors Pollution Table of Contents                                     | NAV ECP O TLKT II TOC 03 13    |
|          | Contractors Pollution Liability Toolkit II                                  | NAV ECP O TLKT II 03 13        |
| 1        | Claim Reporting Notice Endorsement                                          | NENV CN 02 04 17               |
| 2        | Additional Insureds Endorsement - (Primary Non-Contributory)                | NENV 8001 03 13                |
| 3        | Reliance on Another Insurer's Application                                   | NENV 8103 08 13                |
|          | Producer Compensation Notice                                                | G 3418 0 NAVG 09 19            |
| 4        | Full Terrorism Exclusion (Including Certified Act of Terrorism) Endorsement | NENV 8087 01 15                |
| 5        | Schedule of Insured Sites                                                   | NENV 8120 03 13                |

**ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED.**



## CONTRACTORS POLLUTION LIABILITY TOOLKIT II

### TABLE OF CONTENTS

**THIS TABLE OF CONTENTS IS FOR REFERENCE PURPOSES ONLY. IT IS NOT PART OF THE TERMS, CONDITIONS OR EXCLUSIONS OF THIS POLICY, AND IS NOT INTENDED TO AFFECT THE MEANING OF SUCH TERMS, CONDITIONS OR EXCLUSIONS.**

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## CONTRACTORS POLLUTION LIABILITY TOOLKIT II

Various provisions in this policy restrict coverage. This policy contains multiple coverages. Some coverages in this policy contain claims-made insuring agreements that apply only when a claim is first made against an insured and reported to us during the **policy period**.

For providing general notice of a **claim** or **loss**, please refer to SECTION V. RIGHTS AND DUTIES OF INSURED AND US. Special reporting requirements apply to any coverage for **emergency response costs**. Read the entire policy carefully to determine your rights and duties and what is and is not covered.

Throughout this policy the words you and your refer to the **named insured** shown in the Declarations, and any other person or organization qualifying as a **named insured** under this policy. The words we, us and our refer to the company, listed in the Declarations, providing this insurance.

The word insured means any person or organization qualifying as such under SECTION II. WHO IS AN INSURED. Words and phrases other than headings that appear in **bold type** have special meaning. Refer to SECTION VII. DEFINITIONS for the meaning.

In consideration of the premiums paid and upon our reliance on the statements made in the application to this policy, including any supporting documentation or information submitted in connection with the application, and in accordance with all the terms, conditions, exclusions and limitations contained in this policy, we agree to provide coverage to the insured as follows:

### SECTION I. COVERAGES AND COVERAGE EXCLUSIONS

#### 1. Insuring Agreements

The following coverages apply only if scheduled with limits in the Declarations:

##### A. Operations Pollution Liability

1. We will pay on behalf of the insured the **loss** the insured becomes legally obligated to pay because of a **pollution incident** that takes place in the **coverage territory**, is caused by **your work**, and results in:
  - a. a **claim** for **bodily injury, property damage** or **environmental damage** if such injury or damage takes place during the **policy period**; or
  - b. **emergency response costs** you incur responding to **environmental damage**.
2. Any progressive or indivisible **bodily injury, property damage** or **environmental damage**, including any continuation, change or resumption of such injury or damage, which occurs over a period of days, weeks, months or longer caused by continuous or repeated exposure to the same, related or continuous **pollution incident** shall be deemed to have occurred only once and only:
  - a. on the date of first exposure to such **pollution incident**; or
  - b. during the policy period of the first policy issued to you by us or **our affiliate** providing substantially the same coverage as provided by this policy for **bodily injury, property damage** or **environmental damage** that takes place during the **policy period**, but only if:

- (i) the date of first exposure cannot be determined; and
  - (ii) the **bodily injury, property damage or environmental damage** continues in fact during this **policy period**.
- 3. If the same, related or continuous **pollution incident**, or any continuation, change or resumption thereof, takes place over the periods of multiple policies issued to you by us or **our affiliate** providing substantially the same coverage as provided by this policy for **bodily injury, property damage or environmental damage** that takes place during the **policy period**:
  - a. all such **bodily injury, property damage or environmental damage** shall be deemed to have taken place only during the policy period of the first such policy in which any of the **bodily injury, property damage or environmental damage** took place; and
  - b. all **loss** arising from all such **bodily injury, property damage or environmental damage** shall be deemed to have arisen from one **pollution incident** and shall be subject to the limits of liability in effect for such first policy period.

## **B. Site Pollution Liability**

### **1. Discovery of a Sudden Pollution Incident**

We will pay on behalf of the insured the **loss** the insured becomes legally obligated to pay because of **environmental damage or emergency response costs** caused by a **pollution incident** that:

- a. takes place in the **coverage territory**;
- b. is on, under or migrating from or through an **insured site**;
- c. first begins at a demonstrable time and place during the **policy period**; and
- d. is discovered by you no later than fifteen (15) calendar days after it first begins, and is reported to us no later than thirty (30) calendar days following discovery.

### **2. Third Party Claims Caused by a Sudden Pollution Incident**

We will pay on behalf of the insured the **loss** the insured becomes legally obligated to pay because of a **claim** for **bodily injury, property damage or environmental damage** caused by a **pollution incident** that:

- a. takes place in the **coverage territory**;
- b. is on, under or migrating from or through an **insured site**;
- c. first begins at a demonstrable time and place during the **policy period**; and
- d. is discovered by you no later than fifteen (15) calendar days after it first begins, and is reported to us no later than thirty (30) calendar days following discovery.

This insurance applies only if the **claim** is first made against an insured and reported to us during the **policy period**, or, if applicable, during the **extended reporting period**.

When a **claim** is first made against an insured and reported to us during the **policy period** or, if applicable, during the **extended reporting period**, any subsequent **claim** arising out of the same, related or continuous **pollution incident**, or any continuation, change or resumption of such **pollution incident** that is first made against an insured and reported to us under a subsequent policy issued to you by us or by **our affiliate**, providing substantially the same coverage as this policy, will be deemed to have been first made and reported during the **policy period** of this policy. However, coverage for such **claims** under this policy will apply only if you have maintained with us or **our affiliate**, on a continuous and uninterrupted basis from the time of the first such **claim** is made and reported to us, pollution liability coverage that provides substantially the same or similar coverage as this policy.

### 3. Coverage B Exclusions

In addition to Section I.4. Common Exclusions below, this Coverage B. Site Pollution Liability does not apply to any **claim** or **loss**:

#### a. Asbestos and Lead-based Paint

arising out of any asbestos or asbestos-containing materials or lead-based paints, in, upon or applied to any man-made structures or objects. However, this exclusion does not apply to any:

- (1) **claim** for **bodily injury** or **property damage**; or
- (2) **environmental damage** because of:
  - (a) asbestos, asbestos-containing materials, or lead-based paints in soil, groundwater or any other body of water; or
  - (b) the inadvertent disturbance of asbestos, asbestos-containing materials, or lead-based paints. However, this policy does not apply to **cleanup costs**, removal, abatement or encapsulation of any such materials not inadvertently disturbed or otherwise still located in building structures or components as originally intended.

#### b. Change in Use

for **environmental damage** arising out of a change in use or operations at an **insured site** that results in remediation standards that are more restrictive than those standards applicable as of the **inception date**.

#### c. Pollution Incidents After an Insured Site is Divested

arising out of a **pollution incident** that begins after the date an **insured site** is sold, given away or abandoned.

#### d. Underground Storage Tanks

arising out of the presence or former presence of any **underground storage tank** at an **insured site**. However, this exclusion does not apply to any **underground storage tank**:

- (1) disclosed in the application for this insurance and subsequently listed on a Schedule of Underground Storage Tank endorsement attached to this policy;
- (2) removed or abandoned in-place prior to the **inception date**, provided any removal or abandonment in-place by you or on your behalf was conducted in compliance with all applicable federal, state, municipal or provincial regulations; or
- (3) the existence of which is unknown to any **responsible insured** as of the **inception date**.

### C. Environmental Crisis Management

We will pay those **crisis management fees** incurred by you as a direct result of a **crisis management event** that:

1. begins during the **policy period**;
2. is discovered by you and reported in writing to us during the **policy period**; and
3. directly results from a **pollution incident** to which this policy, or any policy issued to you by us to or our **affiliate** which this policy is a continuous renewal, applies.

We will pay those **crisis management fees** you incur even if coverage hereunder is still to be confirmed by us but we will stop paying such fees if we conclude that this insurance does not apply.

Knowledge by a **responsible insured** that a **crisis management event** has taken place constitutes discovery on your part. The **pollution incident** must be unknown to all **responsible insureds** as of the **inception date**, or the effective date of any policy issued to you by us or **our affiliate** to which this policy is a continuous renewal.

## 2. Defense

We will have the right and duty to defend the insured against any **suit** seeking **loss** to which this insurance applies. However, we will have no duty to defend the insured against any **suit** seeking **loss** to which this insurance does not apply. We may, at our discretion, investigate any **pollution incident** and settle any **claim** that may result. But:

- a. the amount we will pay for **loss** is limited as described in SECTION III. LIMITS OF LIABILITY; DEDUCTIBLE; and
- b. our right and duty to defend or continue defending ends when we have used up the applicable limits of liability in the payment of **loss**.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Section I.3. Supplementary Payments immediately below.

## 3. Supplementary Payments

A. We will pay, with respect to any **claim** we investigate or settle, or any **suit** against an insured that we defend:

1. All expenses we incur.
2. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the **suit**, including actual loss of earnings up to \$1,000 a day because of time off from work.
3. All court costs taxed against the insured in a **suit**. However, these court costs do not include attorneys' fees or attorneys' expenses taxed against the insured.
4. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of liability, we will not pay any prejudgment interest based on that period of time after the offer; or
5. All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of liability.

These payments will not reduce the limits of liability.

B. If we defend an insured against a **suit** and an indemnitee of the insured is also named as a party to the **suit**, we will defend that indemnitee if all of the following conditions are met:

1. the **suit** against the indemnitee seeks **loss** for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an **insured contract**;
2. this insurance applies to such liability assumed by the insured;
3. the obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same **insured contract**;
4. the allegations in the **suit** and the information we know about the **pollution incident** giving rise to **loss** hereunder are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;
5. the indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such **suit** and agree that we can assign the same counsel to defend the insured and the indemnitee; and

6. the indemnitee:

- a. agrees in writing to:
  - (1) cooperate with us in the investigation, settlement or defense of the **suit**;
  - (2) immediately send us copies of any demands, notices, summonses or legal papers received in connection with the **suit**;
  - (3) notify any other insurer whose coverage is available to the indemnitee; and
  - (4) cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and
- b. provides us with written authorization to:
  - (1) obtain records and other information related to the **suit**; and
  - (2) conduct and control the defense of the indemnitee in such **suit**.

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us, and necessary litigation expenses incurred by the indemnitee at our request, will be paid as Supplementary Payments. Notwithstanding the provisions in Section I.4. Common Exclusions, paragraph a.2., such payments will not be deemed to be **loss** and will not reduce the limits of liability.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when we have used up the applicable limits of liability in the payment of **loss** under this policy, or any of the conditions set forth above in this paragraph B. are no longer met.

#### 4. Common Exclusions

The following exclusions apply to all coverages under this policy.

This insurance does not apply to:

a. **Contractual Liability**

any **claim** or **loss** arising out of the liability of others assumed by any insured in a contract or agreement. This exclusion does not apply to liability:

- 1. that the insured would have in the absence of the contract or agreement; or
- 2. assumed in a contract or agreement that is an **insured contract**, provided any injury or damage to which this policy applies begins subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an **insured contract**, reasonable attorney fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be **loss** to which this policy applies, provided:
  - (a) liability to such party for, or for the cost of, that party's defense has also been assumed in the same **insured contract**; and
  - (b) such attorney fees and litigation expenses are for defense of that party in a **suit** in which **loss** to which this insurance applies are alleged.

b. **Criminal Fines, Penalties or Assessments**

criminal fines, criminal penalties or criminal assessments.

c. **Damage to Property**

**property damage** or **environmental damage** to:

1. real or personal property you own, rent or occupy, other than property you use for temporary storage or staging in connection with **your work**;
2. personal property loaned to you; or
3. personal property in the care, custody or control of an insured, other than an insured which is an insured because of an **insured contract**.

However, this exclusion does not apply to **environmental damage** to which Coverage 1.B. Site Pollution Liability applies.

**d. Damage to Your Work**

**property damage** or **environmental damage** to **your work** arising out of it or any part of it. However, this exclusion does not apply:

1. if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor; or
2. to **completed operations**.

**e. Employer's Liability**

**bodily injury** to:

1. your **employee** arising out of and in the course of:
  - (a) employment by you; or
  - (b) performing duties related to the conduct of your business; or
2. the spouse, child, parent, brother or sister of that **employee** as a consequence of paragraph 1. immediately above.

This exclusion applies whether you may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury. However, this exclusion does not apply to liability you assume in an **insured contract**.

**f. Expected or Intended Injury or Damage**

**bodily injury**, **property damage** or **environmental damage** expected or intended from the standpoint of a **responsible insured**.

**g. Intentional Acts / Non-compliance**

any **claim** or **loss** based upon or arising out of a **responsible insured's**:

1. dishonest, fraudulent, malicious, or knowingly wrongful act; or
2. willful or deliberate disregard of, or failure to comply with, **environmental laws** including any statute, regulation, ordinance, administrative complaint, notice of violation, directive, order, or instruction made by or on behalf of any governmental body or agency, applicable to a **pollution incident**.

However, paragraph 2. of this exclusion does not apply if the **responsible insured's** action was taken in good faith in reliance upon written advice of outside counsel received in advance of such non-compliance or to **emergency response costs**.

**h. Nuclear Materials**

any **claim** or **loss** based upon or arising out of the radioactive, toxic or explosive properties of nuclear material and with respect to which:

1. you are required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof; or
2. you are, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.

**i. Prior Knowledge**

1. **bodily injury, property damage, environmental damage, or emergency response costs** that occurred in whole or in part prior to the **policy period** and was known to any **responsible insured** prior to the **policy period**. Any continuation, change or resumption of such **pollution incident** will be deemed to have been known to the **responsible insured** prior to the **policy period**; or
2. with respect to Coverage 1.A. Operations Pollution Liability, a **pollution incident** known by a **responsible insured** as of the **inception date**. However, subpart 2. of this exclusion does not apply to any known **pollution incident** that, as of the **inception date**, results from the work or operations of others and not **your work**.

**j. Related Entities and / or Individuals**

any **claim** made against you by any person, entity or organization:

1. that is owned, managed, or controlled by you or in which you have an ownership interest in excess of twenty-five (25%) percent;
2. of which you are an officer, partner, or director; or
3. that owns, operates, or manages you.

**k. Transportation**

any **claim** or **loss** based upon or arising out of **property damage** to any conveyance including, but not limited to, any **motor vehicle**, rolling stock, aircraft or water craft. However, this exclusion does not apply to any **claims** brought by third-party carriers alleging negligence on your part.

**l. War**

**bodily injury, property damage or environmental damage**, however caused, arising, be it directly or indirectly, out of:

1. war, including undeclared or civil war;
2. warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
3. insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

**m. Waste Disposal**

any **claim** or **loss** arising out of the disposal of any products or materials, including, but not limited to, **your products** or waste, that have been delivered to any premises, location, or facility for the purpose of treatment, storage, processing, recycling or disposal. However, this exclusion does not apply to a **pollution incident** on, under or migrating from or through a **waste disposal facility** or a third-party jobsite at which you physically perform **your work** and the **pollution incident** is the result of that work.

**n. Workers' Compensation and Similar Laws**

any **claim** or **loss** arising out of any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

**o. Your Product**

any **claim** or **loss** arising out of **your product** after you have relinquished possession of it to a third party. This exclusion does not apply to **your products** that you install or repair as part of **your work**.

**SECTION II. WHO IS AN INSURED**

In addition to the **named insured** listed in Item 1. of the Declarations, and any **named insured** added to this policy by endorsement, the following persons or entities are insureds under this policy:

**1. If you are designated in the Declarations as:**

- a. an individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.
- b. a partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.
- c. a limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.
- d. an organization other than a partnership, joint venture or limited liability company, you are an insured. Your **executive officers** and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
- e. a trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

**2. Each of the following is also an insured:**

- a. Your **volunteer workers**, but only while performing duties related to the conduct of your business, or your **employees**, other than either your **executive officers** (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these **employees** or **volunteer workers** are insureds for:

**(1) bodily injury:**

- (a) to you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company); or
- (b) for which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in paragraphs (1)(a) immediately above.

**(2) property damage or environmental damage to property:**

- (a) owned, occupied or used by, or
- (b) rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by,

you, any of your **employees**, **volunteer workers**, any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

- b. Any person (other than your **employee** or **volunteer worker**), or any organization while acting as your real estate manager.

- c. Any person or organization having proper temporary custody of your property if you die, but only:
    - (1) with respect to liability arising out of the maintenance or use of that property; and
    - (2) until your legal representative has been appointed.
  - d. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this policy.
3. Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain a majority ownership interest, will qualify as a **named insured** if there is no other similar insurance available to that organization. However, coverage for any newly acquired or formed organization:
- a. is afforded only until the one hundred and twentieth (120<sup>th</sup>) days after you acquire or form the organization, or the end of the **policy period**, whichever is earlier;
  - b. applies only if you provide written notification to us within one hundred and twenty (120) days after the date of such acquisition or formation or before the end of the **policy period**, whichever is earlier;
  - c. if, in our sole discretion, we determine additional premium is to be charged you are responsible to pay the additional premium when due; and
  - d. does not apply to any **bodily injury, property damage, environmental damage, or crisis management event** that occurred, or any **pollution incident** that began, before you acquired or formed the organization.

No coverage will be afforded subsequent to the one hundred and twentieth (120<sup>th</sup>) day after you acquire or form any new organization unless and until such organization is specifically endorsed onto the policy by us. The **first named insured** may request that any such newly acquired or formed organization be added to the policy; however, in our sole discretion, additional underwriting information and premium may be required. If we consent to adding any newly acquired or formed organization, the **first named insured** is responsible to pay any additional premium when due.

- 4. Any person or organization that has at least a majority ownership or controlling interest in you is an insured, but only with respect to **bodily injury, property damage, environmental damage, or emergency response costs** arising out of **your work** and solely with respect to their financial control of you.
- 5. Any person or organization, including your clients for whom you perform **your work**, whom you agree to include as an insured in an **insured contract** is an insured, but only with respect to a **pollution incident** arising out of **your work** and only:
  - a. if the contract or agreement is executed and effective prior to the date any **pollution incident** to which this policy applies first began; and
  - b. for the lesser of the:
    - (1) minimum limits required by the contract, agreement or permit; or
    - (2) applicable limits of liability in this policy.

No person, organization or entity is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a **Named Insured** in the Declarations.

### SECTION III. LIMITS OF LIABILITY; DEDUCTIBLE

- 1. The limits of liability shown in the Declarations and the rules below fix the most we will pay regardless of the number of:
  - a. **claims** made or **suits** brought;
  - b. persons or organizations making **claims** or bringing **suits**;
  - c. insureds;
  - d. **pollution incidents**; or
  - e. **crisis management events**.

## 2. Related or Continuous Pollution Incidents

All of the same, related or continuous **pollution incident(s)**, will be treated as one **pollution incident**, and subject to one Each Incident Limit and one deductible as described in paragraphs 3. and 8. below, respectively.

## 3. Each Incident Limit

Subject to paragraphs 4. and 5. below, the Each Incident Limit shown in Item 3. of the Declarations is the most we will pay under this policy for all **loss** arising out of any one **pollution incident**.

## 4. Coverage Section Aggregate Limit

Subject to paragraph 5. below, the Coverage Section Aggregate Limit shown in Item 3. of the Declarations is the most we will pay for all **loss** under the applicable coverage section.

## 5. Policy Aggregate Limit

The Policy Aggregate Limit shown in Item 3. of the Declarations is the most we will pay for all **loss** covered under this policy.

## 6. Environmental Crisis Management Limit

Subject to paragraphs 3., 4., and 5. above, the Environmental Crisis Management Limit set forth in Item 3. of the Declarations is the most we will pay under this policy for all **crisis management events** covered under this policy. Any series of related **crisis management events** arising out of any same, related, or continuous **pollution incident**, will be treated as a single **crisis management event**.

## 7. Multiple Coverage Sections

Subject to paragraph 3. above, only the highest applicable Each Incident Limit set forth in Item 3. of the Declarations, and the deductible corresponding to such coverage section, shall apply to the sum of all **loss** under all coverages arising out of any one **pollution incident** or the same related or continuous **pollution incident**.

## 8. Deductible

The limits of this insurance apply in excess of the applicable deductible shown in Item 3. of the Declarations. The deductible applies to all **loss** arising out of any one **pollution incident** or the same, related or continuous **pollution incident**. **Crisis management fees** are not subject to any deductible.

If, in the defense of a **suit** or settlement of a **claim** or **suit** or in the payment of **loss** we pay any part or all of the deductible, then upon our notification to you of such action taken, you shall promptly reimburse us the deductible amount that has been paid by us.

## 9. Policy Term

The limits of liability of this policy apply to the entire **policy period**. If the **policy period** is extended after issuance for an additional period, the additional period will be deemed part of the last preceding period for purposes of determining the limits of liability.

## SECTION IV. CONDITIONS

### 1. Appeals

At our discretion we may appeal any judgment which would result in a payment under this policy. When we do appeal, we will pay all costs associated with the appeal in addition to the limits of liability. Any such appeal will not increase our limits of liability.

### 2. Application and Representations

By accepting this policy, you understand and agree that the statements in the application, including any supporting documentation or information submitted in connection with the application for this insurance, are made a part of this policy; are accurate and complete; that those statements are material representations you have made to us; and that we have issued this policy in reliance upon your representations.

### 3. Assignment

The interest of any insured under this policy is not assignable, unless and until our consent to such assignment is endorsed hereon.

### 4. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this policy.

### 5. Cancellation

- a. The **first named insured** may cancel this policy at any time by surrender of the policy to us, or by providing us advanced written notice of the cancellation date.
- b. We may cancel this policy by providing the **first named insured** written notice of cancellation:
  - (1) at least 10 days in advance if we cancel for non-payment of premium; or
  - (2) at least 90 days in advance, but cancellation by **us** is limited to the following reasons:
    - (a) fraud or material misrepresentation on the part of an insured; or
    - (b) a change in your business activities, **your work** or operations at any **insured site** that materially increases our risk under this policy.
- c. We will mail or deliver our notice to the **first named insured's** last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice.
- d. Notice of cancellation will state the effective date of cancellation. The **policy period** will end on that date.
- e. If this policy is cancelled, we will send the **first named insured** any return premium, if any, will be calculated per SECTION IV. CONDITIONS, paragraph 17. Premium. The cancellation will be effective even if we have not made or offered a refund.

### 6. Changes

Notice to any agent or knowledge possessed by any agent or by any other person shall not effect a waiver or a change in any part of this insurance or estop us from asserting any right under the terms of this insurance; nor shall the terms of this insurance be waived or changed, except by endorsement issued to form a part of this insurance and signed by us.

## 7. Currency

Any payment or reimbursement we make under this policy will be made in U.S. currency at the prevailing exchange rate on the date the judgment is rendered, or the date the amount of the settlement is agreed upon, or the date any other reimbursable expenditure is made by the insured.

## 8. Duties of the First Named Insured

The **first named insured** is responsible for payment of the policy premium and for any policy deductible. The **first named insured** will also serve as the sole agent acting on behalf of all insureds with respect to receipt of notice under this policy, including notice of cancellation or non-renewal, receipt and acceptance of any endorsement or any other change to this policy, or return of any premium, unless any such responsibilities are otherwise designated by endorsement.

## 9. Economic and Trade Sanctions

We shall not be deemed to provide cover and we shall not be liable to pay any **claim** or provide any benefit hereunder to the extent that the provision of such cover, payment of such **claim** or provision of such benefit would expose us to any sanction, prohibition or restriction under the trade or economic sanctions, laws or regulations of the United States of America.

The United States of America trade or economic sanctions, laws or regulations shall include, but not be limited to, those sanctions administered and enforced by the U.S. Treasury Department's Office of Foreign Assets Control (OFAC).

## 10. Enforceability

If any part or provision of this policy is deemed invalid or unenforceable, it shall not affect the validity or enforceability of any other part or provision of this policy, which shall be enforced to the fullest extent permitted by law.

## 11. Entire Agreement

By acceptance of this policy, you agree with us that this policy and any written endorsements attached hereto constitute the entire agreement between the parties. The terms, conditions and limitations of this policy can be waived or changed only by written endorsement issued and signed by us.

## 12. Headings

Headings or sub-headings that appear in this policy are intended for convenience only and do not form a part of the terms, conditions or substance of the policy.

## 13. Independent Counsel

In the event that an insured is entitled by law to select, at our expense, independent counsel ("Cumis Counsel") to oversee our defense of a **suit** against the insured, the attorney's fees and all other litigation expenses we will pay to the independent counsel are limited to the rates we actually pay to counsel we retain in the ordinary course of business in the defense of similar **suits** in the community where the **suit** is being defended. Any insured may, at any time, by signed consent, waive their right to select an independent counsel.

Additionally, we may exercise the right to require that such counsel have certain minimum qualifications with respect to their legal competency including, but not limited to, experience in defending **suits** similar to the one pending against any insured and to require such counsel to have errors and omissions insurance coverage. The insured agrees that such counsel will respond to our request for information regarding the **suit** in a timely manner.

#### 14. Inspection and Audit

By acceptance of this policy, you agree that we have the right, but not the obligation, to inspect or monitor on a continuing basis the operations or activities of your business which may give rise to any **claim** or **loss** under this policy. If we decide to exercise this right, we will inspect or monitor your operations or activities at a reasonable time of business. We will provide you or your broker or agent with reasonable notice as to the time and place of our inspection or monitoring, and we will seek your assistance with providing access to any locations, operations, books and records we intend to inspect or monitor.

We may, subject to our sole discretion, report orally or in writing to you on the conditions we find and recommend changes. Any such reports or recommendations relate only to insurability and the premiums to be charged. We do not make safety inspections, nor do we undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. Further, nothing in our inspection, monitoring or reports shall constitute an undertaking, on behalf of or for the benefit of the insured or others, to determine whether any conditions are safe, or whether any operations or facilities are in compliance with laws, regulations, codes or standards.

#### 15. Legal Action Against Us

No person or organization has a right under this policy:

- a. to join us or **our affiliates** as a party or otherwise bring us or **our affiliates** into a legal **suit** or legal proceeding asking for damages from an insured; or
- b. to sue us or **our affiliates** on this policy unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this policy or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

#### 16. Other Insurance

If other valid and collectible insurance applies to any **claim** or **loss** covered under this policy, this insurance will apply in excess of such other valid and collectible insurance, whether primary, excess, contingent or on any other basis, unless such other insurance is written only as specific excess insurance over the limit of liability of this policy.

When both this insurance and other insurance apply to any **claim** or **loss** on the same basis, then we will not be liable under this policy for a greater proportion of the **loss** than the lower of either (1) the limits of liability shown in the Declarations or (2) the amount determined by contribution amongst the policies, as follows:

- a. Contribution by Equal Shares - if all of the other insurance permits contribution by equal shares, we will also follow this method. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first; or
- b. Contribution by Limits - if any other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

#### 17. Premium

The premium shown in Item 5. of the Declarations is the premium for the coverage we provide for the policy period. If this policy is cancelled prior to its expiration date return premium will be calculated as follows:

a. if cancelled by us:

$$[(\text{Premium}) - (\text{Minimum Earned Premium in Item 5. of the Declarations})] \times (\text{Pro Rata factor})]$$

b. if cancelled by the **first named insured**:

$$[(\text{Premium}) - (\text{Minimum Earned Premium in Item 5. of the Declarations})] \times \{(\text{Pro Rata factor}) \times (0.90)\}].$$

## 18. Right to Select Environmental Professionals

You, with our prior written consent and approval, have the right and duty to designate and retain qualified **environmental professionals** to assist with the investigation or remediation of a **pollution incident** to which this policy applies. Our written consent is not required in the case of **emergency response costs**, however, you are still required to select a qualified **environmental professional** to conduct any investigation or remediation on your behalf, and the rates and fees we actually pay to the **environmental professional** for their services will be limited to the rates and fees we typically pay in the ordinary course of business in investigating and remediating similar **pollution incidents** in the community where the **pollution incident** giving rise to **loss** hereunder arose. Any costs or **loss** incurred by you prior to receiving our written consent and approval will not be covered under this policy or credited against the deductible, except in the case of **emergency response costs**.

## 19. Right to Select Legal Counsel

We have the right to select legal counsel to defend the insured against any **claim** for **bodily injury, property damage, environmental damage**, or any other **loss** to which this insurance applies. Where allowable by law, we may appoint one counsel to represent or defend all insureds against any **claim** to which this insurance applies on a joint defense basis.

## 20. Separately Insured Project (Anti-Stacking of Limits)

In the event that any **claim** or **loss** covered under this policy is also covered under one or more other pollution liability policies issued by us or **our affiliate** to any **named insured** under a policy issued for a specific project or projects, including, but not limited to, any owner or contractor controlled insurance program(s), owner's protective policy, wrap-up policy or similar insurance, then with respect to any such **claim** or **loss**, our obligations are limited as follows:

- a. we shall not be liable under this policy for a greater portion of the **loss** than the applicable limit of liability, less the deductible or retention amount (if any), that this policy bears to the total applicable limits of liability of all such policies referred to above;
- b. the maximum amount payable under all such policies referred to above shall not exceed the largest single applicable limit of liability under any such policies. With respect to any such **claim** or **loss**, the limits of liability under this policy may be reduced or exhausted by payments under this policy and/or payments under all such policies; and
- c. the sole applicable deductible or retention shall be that which applies under the policy with the largest single limit of liability as established in paragraph b. immediately above.

## 21. Separation of Insureds / Severability

Except with respect to the limits of liability, any insured versus insured exclusion, cancellation, or any rights or duties specifically assigned to the **first named insured**, this insurance applies:

- a. as if each **named insured** was the only **named insured**; and
- b. separately to each insured against whom a **claim** is made.

## 22. Service of Suit

It is understood and agreed that in the event of a failure by us to pay any amount claimed to be due hereunder, we, at the request of the **first named insured**, will submit to a court of competent jurisdiction within the United States of America. The foregoing shall not constitute a waiver of any of our rights to remove, remand, or transfer such **suit** to any other court of competent jurisdiction in accordance with the applicable statutes of the United States of America or any state therein. In any **suit** instituted against us upon this contract, we will abide by the final decision of the court or of any appellate court in the event of an appeal.

It is further agreed that service of process upon us in such **suit** may be made upon the Superintendent, Commissioner, or Director of Insurance or other person specified for that purpose in the applicable statute governing service of process in the state or jurisdiction in which a cause of action arises under this contract of insurance, or his successor or successors in office as their true and lawful attorney upon whom may be served any lawful process in any action, **suit**, or proceeding instituted by or on behalf of the insured or any beneficiary hereunder arising out of this contract of insurance.

## 23. Subrogation

In the event of any payment under this insurance by us, we shall be subrogated to all the insured's rights of recovery against any person or organization. No insured shall do anything after the payment of **loss** by us to prejudice such rights. The insured agrees to cooperate with us and to execute and deliver all instruments and papers and do whatever else is necessary to enforce such rights. At our request, the insured will bring **suit** or transfer those rights to us and help us enforce them.

With respect to Coverage 1.A. Operations Pollution Liability, we agree to waive our right of subrogation against any of your clients but only if and to the extent you had a written contract with your client agreeing to waive such rights prior to the **pollution incident** giving rise to **loss** hereunder began.

## 24. Transfer of Defense Duties

If we conclude that any applicable limit of liability of this policy has been, or soon will be, exhausted by the payment of **loss**, we will so notify the **first named insured** in writing as soon as possible. In the event that there are ongoing legal proceedings with respect to any **claims** against an insured, and any applicable limit of liability of this policy has been exhausted by the payment of **loss**, we will advise you that our duty to defend has ended and that we will no longer handle the defense of any ongoing **claims** or new **claims** against an insured. Thereafter, we will initiate and cooperate in the transfer of control of the defense of all **claims** to any appropriate insured. The exhaustion of any applicable limit of liability by the payment of **loss** will not be affected by our failure to comply with any of the provisions of this section, nor will we be obligated by operation of any rights or duties in this paragraph to defend or continue to defend any **claim** or pay any **loss** after any applicable limit of liability of this policy is exhausted.

## 25. Voluntary Payments / Consent

Other than **emergency response costs** or **crisis management events**, no insured shall, except at its own cost:

- a. voluntarily make any payment, assume any obligation, or incur any expense to which this policy applies without our prior written consent; or
- b. admit liability, offer to settle, or agree to any settlement in connection with any **claim** or **suit** without our prior written consent. When our written consent to a settlement is requested, you must promptly provide us with all information and particulars we may reasonably request, including, but not limited to, information which an insured may deem immaterial, in order to reach an informed decision as to such consent. Any **loss** or other costs, charges or expenses resulting from any admission of liability or agreement to settle incurred prior to our consent shall not be covered hereunder.

## 26. When We Do Not Renew

If we decide not to renew this policy, we will mail or deliver to the **first named insured** written notice of the nonrenewal not less than ninety (90) days before the expiration date. If notice is mailed, proof of mailing will be sufficient proof of notice.

## SECTION V. RIGHTS AND DUTIES OF INSURED AND US

### 1. Claim Reporting

As a condition precedent to coverage under the policy, if an insured receives a **claim** or becomes aware of a **pollution incident** or **crisis management event** which may give rise to **loss** under this policy, the insured must notify us as soon as practicable utilizing any of the following methods:

- a. electronic mail to our San Francisco Claims Office at [SFCLAIMS@navg.com](mailto:SFCLAIMS@navg.com); or
- b. mail to our Schaumburg Claims Office at

Navigators Insurance  
Attn: Environmental Claims Division  
1375 East Woodfield Road  
Suite 720  
Schaumburg, IL 60173  
United States of America

Notice to us should contain the following information:

- a. The current contact information of the person giving notice to us;
- b. The time, date and location of the **pollution incident** or **crisis management event**;
- c. A description of the circumstances giving rise to the **pollution incident** or **crisis management event** including how and when you became aware of the **pollution incident** or **crisis management event**;
- d. The names and addresses of any injured persons or witnesses; and
- e. All other information which is relevant to the **claim**, **pollution incident**, or **crisis management event**.

Thereafter, the insured is required to submit to us as soon as practicable, but in no event longer than sixty (60) days from the date of our request, any information related to the notice which we may reasonably request including but not limited to any relevant contracts, technical reports, laboratory data, field notes, or documents generated by an insured in the investigation of any potential **loss** hereunder, whether or not these materials are deemed by any insured to be relevant.

If a **claim** is made against any insured, you must immediately send us copies of any demands, notices, summonses or legal papers received in connection therewith.

If any insured reports any **claim** or **pollution incident** under this policy knowing such **claim** or **pollution incident** to be false or fraudulent, as regards to the amount or otherwise, this policy shall become null and void, and all coverage hereunder shall be forfeited.

### 2. Your Assistance and Cooperation

Any insured who may have any information related to a notice of a **claim** or **loss** submitted to us is required to cooperate with us in all investigations, securing and giving evidence, and, with respect to depositions, hearings, arbitrations, mediations, trials and any other legal proceedings, including personal attendance and the assistance in securing the attendance of witnesses.

### 3. Approval Process for Cleanup Costs

With respect to any **cleanup costs** to which this insurance applies, the insured must:

- a. submit, for our preapproval, all proposed work plans prior to submittal to any regulatory agency;
- b. submit, for our preapproval, all bids and contracts for **cleanup costs** prior to execution or issuance; and
- c. forward progress reports regarding **cleanup costs** to us at reasonable intervals and prior to any submittal to any regulatory agency that is authorized to review and approve such submittals.

We shall have the right, but not the duty, to assume direct control of such **cleanup costs**. Any **cleanup costs** incurred by us will be deemed to have been incurred by the insured and will reduce both the limits of liability and the deductible set out in the Declarations.

If we are prohibited under applicable law from investigating, defending or settling any such **claim** or **suit**, the insured shall, under our supervision, arrange for such investigation and defense thereof as is reasonably necessary, and subject to our prior authorization, shall effect such settlement thereof.

### 4. Your Duty and Our Right to Mitigate

Once you become aware of a **pollution incident**, you are required to make a reasonable attempt to mitigate any **loss** and to comply with all applicable laws. If, in our sole judgment, you or any insured fails to take reasonable steps to mitigate a **pollution incident** which may give rise to **loss** hereunder, we will have the right but not the duty to take such steps as we deem appropriate to mitigate the **pollution incident** or resulting **loss**. Any **loss** incurred by us will be deemed to have been incurred by the insured and will reduce both the limits of liability and the deductible set out in the Declarations.

## SECTION VI. EXTENDED REPORTING PERIOD

This Section VI. applies solely to Coverage B.2. Third Party Claims Caused by a Sudden Pollution Incident provided such coverage is purchased, and any other coverage that is added to this policy by endorsement and that applies to **claims** first made against an insured and reported to us during the **policy period**.

If this policy is:

- a. cancelled by us for any reason other than failure to pay a premium when due or fraud on the part of an insured;
- b. non-renewed by us; or
- c. cancelled by the **first named insured**; and

you have not purchased any other insurance to replace this insurance, then you are entitled to an extended reporting period as outlined in paragraphs VI.1. or VI.2. below. The quotation by us of a different premium, or deductible, or limit of liability, or changes in policy language for the purpose of renewal, shall not constitute our refusal to renew.

#### 1. Automatic Extended Reporting Period

An extended reporting period of ninety (90) days will be automatically provided to you for no additional premium. The Automatic Extended Reporting Period begins on the date the policy is terminated. A **claim** first made against an insured during the **policy period** or the Automatic Extended Reporting Period and reported to us during the Automatic Extended Reporting Period will be deemed to have been made against the insured and reported to us on the last day of the **policy period** provided the **claim** arises from a **pollution incident** that began prior to the end of the **policy period** and would otherwise be covered under this policy.

## 2. Supplemental Extended Reporting Period (Optional)

Within thirty 30 days following the date this policy is terminated as described above in this Section VI., the **first named insured** may elect, by notification to us in writing, to purchase a Supplemental Extended Reported Period for an additional premium of not more than 200% of the full policy premium. The available duration of the Supplemental Extended Reported Period will be up to a maximum of thirty-six (36) months.

The Supplemental Extended Reporting Period begins on the date the policy is terminated. A **claim** first made against an insured during the **policy period** or the Supplemental Extended Reporting Period and reported to us during the Supplemental Extended Reporting Period will be deemed to have been made against an insured and reported to us on the last day of the **policy period** provided the **claim** arises from a **pollution incident** that began prior to the end of the **policy period** and would otherwise be covered under this policy. If the Supplemental Extended Reporting Period is purchased, the Automatic Extended Reporting Period will merge into and not be in addition to the Supplemental Extended Reporting Period.

It is a condition precedent to your rights under this Section VI.2., that the **first named insured** make a written request to us to purchase the Supplemental Extended Reporting Period within 30 days following the date this policy is terminated, and that you pay in its entirety the additional premium when due. At the beginning of the Supplemental Extended Reporting Period the entire premium will be deemed fully earned, and, in the event that you terminate the Supplemental Extended Reporting Period for any reason prior to its natural expiration, we will not be liable to return any premium paid for the Supplemental Extended Reporting Period.

Any extended reporting period does not extend the **policy period** or change the scope of coverage provided, nor does it act to reinstate or increase any of the limits of liability.

## SECTION VII. DEFINITIONS

### 1. **Bodily injury** means the following sustained by any person:

- a. physical injury, sickness, disease, building-related illness or other illness; and
- b. mental anguish, emotional distress, or shock,

including, if applicable, death resulting therefrom, and medical monitoring when accompanied by physical injury.

### 2. **Cargo** means goods, products, supplies, merchandise or wastes.

### 3. **Claim** means a demand, **suit** or legal notice seeking a remedy and alleging liability or responsibility on the part of the insured.

### 4. **Cleanup costs** means those reasonable and necessary expenses, including **restoration costs**, incurred in order to investigate, test, monitor, abate, remove, remediate, neutralize, clean or dispose of soil, groundwater, surfacewater, or other contamination arising from a **pollution incident** to the extent:

- a. required pursuant to **environmental laws**;
- b. such expenses have been actually incurred by the government or any political subdivision of the United States of America or any state thereof, or Canada or any province thereof, or by third parties pursuant to **environmental laws**; or
- c. recommended in writing by an **environmental professional** as necessary for the protection of human health and the environment, but only in the absence of any applicable **environmental laws**.

**Cleanup costs** do not include:

- a. **property damage**;
- b. costs, charges or expenses incurred by you for materials supplied or services performed by the insured unless such costs, charges or expenses are incurred with our prior written approval;

- c. any unreasonable or unnecessary acceleration or delay in executing a remedial plan; or
- d. costs, charges or expense incurred to prevent future **pollution incidents**.

5. **Completed operations** means **your work** that has been completed, and does not include **your work** that has been abandoned by you. **Your work** will be deemed completed at the earliest of the following times:

- a. when all of **your work** called for in your contract has been completed;
- b. when all **your work** to be performed at a project location has been completed if your contract calls for work at more than one project location; or
- c. when that part of **your work** performed at the project location has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

**Your work** that may need service, maintenance, correction, repair or replacement, but which is otherwise complete as noted above, will be deemed completed and treated as **completed operations**.

6. **Coverage territory** means anywhere in the world, provided the insured's responsibility to pay **loss** is determined in a **suit** on the merits in the United States of America (including its territories and possessions), Puerto Rico and Canada, or is otherwise agreed to by us.

7. **Crisis management consultant** means a professional firm or consultant that provides crisis management services which has been approved in writing by us prior to any insured incurring **crisis managements fees** to which this policy applies, the approval for which shall not be unreasonably withheld, delayed, conditioned or denied.

8. **Crisis management event** means the public announcement or accusation by a third party that a **pollution incident** for which you are alleged to be legally responsible has caused:

- a. **bodily injury** involving multiple third parties; or
- b. **property damage**, but only to the extent resulting in actual physical damage, or **cleanup costs**, to real properties owned by multiple third parties,

provided that an **executive officer** has proffered a good faith opinion, in our sole discretion, that the public announcement or accusation has caused or is reasonably likely to cause economic harm to, or a material adverse effect on, your image or goodwill.

9. **Crisis management fees** means those reasonable and necessary fees and expenses:

- a. incurred by you within ninety (90) days after the **crisis management event** is discovered by you, or thereafter as approved by us in writing; and
- b. for services provided to you by a **crisis management consultant** for the sole purpose of assisting you with:
  - (1) managing the media in direct response to a **crisis management event**; or
  - (2) minimizing the economic harm to you caused by a **crisis management event** by consulting with you with respect to maintaining and restoring your public image or reputation.

10. **Emergency response costs** means those reasonable and necessary expenses incurred in order to investigate, test, monitor, abate, remove, remediate, neutralize, clean or dispose of soil, groundwater, surfacewater, or other contamination in response to a **pollution incident** that begins during the **policy period** and:

- a. presents an imminent and substantial danger to human health and the environment; and
- b. requires an immediate response by you in order to mitigate or reduce **loss** to which coverage under this policy applies or would apply but for the absence of a **claim** against you.

This policy applies to only those **emergency response costs** incurred by you within fifteen (15) calendar days after the **pollution incident** begins or incurred thereafter as pre-approved by us in writing. Further, you must report the **pollution incident** giving rise to such costs to us no later than thirty (30) calendar days after it began.

11. **Employee** means any persons actively employed by you, including a **leased worker** or **temporary worker**.
12. **Environmental damage** means physical damage to the atmosphere, biota, soil, land, any structure on land, groundwater or surfacewater caused by a **pollution incident** and giving rise to **cleanup costs**. **Environmental damage** does not include **property damage**.
13. **Environmental laws** means any federal, state, provincial, or local law, including, but not limited to, statutes, rules, ordinances, guidance documents, regulations, and all amendments thereto, including state voluntary cleanup or risk-based corrective action guidance, and governmental, judicial, or administrative orders or directives, applicable to a **pollution incident**.
14. **Environmental professional** means a person designated by us, or by you with our prior written consent and approval, who is certified or licensed as a Certified Industrial Hygienist (CIH) by the American Board of Industrial Hygiene, a Professional Engineer (P.E.), a Professional Geologist (P.G.) or other certified or licensed professional with the applicable State environmental regulatory agency. We may require that certain minimum professional criteria be met, including a demonstration that the individual has experience with similar projects as the one involving **cleanup costs** or **emergency response costs** covered under the policy, and the maintenance of adequate errors and omissions insurance.
15. **Executive officer** means a person holding any of the officer positions created by your charter, constitution, by-laws or any other similar governing document.
16. **Extended reporting period** means the Automatic Extended Reporting Period or, if applicable, the Supplemental Extended Reporting Period, as described in Section VI. of this policy
17. **First named insured** means the first person or entity stated in Item 1. of the Declarations.
18. **Fungus** means any form of mold, mildew, or fungi, including mycotoxins, spores or byproducts produced or released by fungi.
19. **Green standards** means the following standards, products, methods, and processes for improving the environment, increasing energy efficiency, and enhancing safety and property protection:
  - a. LEED<sup>®</sup> Green Building Rating System<sup>™</sup> of the U.S. Green Building Council;
  - b. Green Globes<sup>™</sup> Assessment and Rating System;
  - c. ENERGY STAR<sup>®</sup>; or
  - d. National Fire Protection Association codes, Underwriter Laboratories standards, or other local or international codes.
20. **Inception date** means the first date set forth in Item 2. of the Declarations.
21. **Insured contract** means:
  - a. a sidetrack agreement;
  - b. any easement or license agreement;
  - c. your obligation, as required by ordinance, to indemnify a municipality, except in connection with **your work** for a municipality;
  - d. an elevator maintenance agreement;
  - e. that part of any other contract or agreement pertaining to **your work** or **transportation** (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for **bodily injury**, **property damage** or **environmental**

**damage** to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement; or

- f. a written contract or agreement submitted to and approved by us, and listed on a Schedule of Insured Contracts endorsement attached to this policy.

22. **Insured site** means the locations identified in Item 4. of the Declarations.

23. **Leased worker** means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. **Leased worker** does not include a **temporary worker**.

24. **Loss** means:

a. with respect to **claims** for **bodily injury** or **property damage**:

- (1) monetary awards or settlements of compensatory damages;
- (2) civil fines, penalties, or assessments; and
- (3) where insurable by law, punitive, exemplary, or treble damages.

b. **cleanup costs** and **emergency response costs**;

c. **crisis management fees**; and

d. those reasonable attorney fees and necessary litigation expenses incurred by or for a party other than an insured as provided for in Section I.4. Common Exclusions, paragraph a. Contractual Liability.

25. **Low level radioactive material** means radioactive material or waste, including any radioactive waste from nuclear medicine, medical imaging equipment or the use of radiopharmaceuticals, not classified as high-level radioactive waste, transuranic waste, spent nuclear fuel, or byproduct material as defined in section 11e.(2) of the Atomic Energy Act of 1954 (as amended).

26. **Midnight dumping** means the illicit abandonment of drums or containers of **pollutants** regulated as hazardous or toxic under Federal, State, Provincial, or local environmental law, regulation or statute, but only if:

a. the drums or containers were abandoned by persons or entities other than you or your affiliates and without the knowledge of any **responsible insured**; and

b. the actual or threatened discharge, dispersal, release, seepage or escape of the contents of the drums or containers has resulted or could result in **cleanup costs** to which this policy applies.

27. **Motor vehicle** means:

a. a land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or

b. any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law in the state where it is licensed or principally garaged.

28. **Named insured** means the person(s) or entity(ies) listed in Item 1. of the Declarations and any other person or entity qualifying as a Named Insured under this policy.

29. **Natural resource damages** means injury to or destruction of land, fish, wildlife, biota, air, water, ground water, drinking water supplies, and other such resources belonging to, managed by, held in trust by, appertaining to, or otherwise controlled by the United States (including any resources that are the subject of the Magnuson-Stevens Fishery Conservation and Management Act (16 U.S.C. 1801 et seq.)); or any State, Provincial, or local government; or any foreign government; or any Indian Tribe; or, if such resources are subject to a trust restriction or alienation, by any member of an Indian tribe, including any reasonable costs of damage assessment and the cost of restoring injured resources to their baseline condition prior to the **pollution incident** giving rise to **loss** hereunder.

30. **Our affiliate** means any parent, subsidiary, affiliate, division, related companies, holding companies, merged companies, acquired companies, predecessors-in-interest and/or successors-in-interest of the company listed in the Declarations as providing this insurance.
31. **Policy period** means the period set forth in Item 2. of the Declarations, or if this policy is cancelled, any shorter period as a result of such cancellation.
32. **Pollutant** means any solid, liquid, gaseous or thermal irritant or contaminant, including but not limited to, smoke, vapors, soot, fumes, acids, alkalis, toxic chemicals, hazardous substances, petroleum hydrocarbons, **low level radioactive materials**, electromagnetic fields, and hazardous waste materials, including medical and infectious wastes, and materials to be recycled, reconditioned or reclaimed. **Pollutant** also includes legionella pneumophila and **fungus**.
33. **Pollution incident** means:
- a. the discharge, dispersal, release, seepage or escape of any **pollutant** into or upon land, or any structure on land, the atmosphere or any watercourse or body of water, including groundwater, provided the amount or concentration of the **pollutant** exceeds the amount or concentrations naturally present in the environment;
  - b. the existence of **fungus** or legionella pneumophila at, on, or within any man-made structures or buildings, including the indoor air within such structures or buildings;
  - c. solely with respect to **pollution incidents** caused by **your work** as defined in paragraphs a. and b. of SECTION VII. DEFINITIONS, paragraph 45. Your work:
    - (1) the discharge, dispersal, release, seepage or escape of silt or sedimentation beyond the legal boundaries of a location where you perform **your work**, if such discharge, dispersal, release, seepage or escape results in **environmental damage**; or
    - (2) any material exacerbation, expansion or migration of **pollutants** as a result of **your work**;
  - d. solely with respect to any **waste disposal facility**, the release or threatened release of any **pollutant** to the extent a governmental entity or third party seeks cost recovery or contribution from you pursuant to **environmental laws**; or
  - e. any **midnight dumping** at an **insured site** or third-party jobsite at which you perform **your work**.
34. **Property damage** means:
- a. physical injury to or destruction of tangible property, including any resulting loss of use;
  - b. loss of use of tangible property that has not been physically injured or destroyed;
  - c. diminution in value; or
  - d. **natural resource damages**.
- Property damage** does not include **cleanup costs** pursuant to **emergency response costs**, or **environmental damage**. Electronic data is not tangible property. As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMS, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.
35. **Responsible insured** means your owners, **executive officers**, directors, or partners; your managers or supervisors; your **employees** who are responsible for environmental affairs, control, or compliance; and your **employees** who are responsible for giving or receiving notice of a **claim**.
36. **Restoration costs** mean those reasonable and necessary expenses incurred by an insured with our written consent, to repair, replace, or restore real or personal property to substantially the same condition it was in prior to being damaged in the course of incurring **cleanup costs** or **emergency response costs**. Such expenses do not include any costs associated with any improvements or betterments, except as follows:

If a repair or replacement results in better than the like kind or quality, we will pay for the amount of the betterment but only if and to the extent that such betterment entails the use of materials meeting **green standards** which comprised the damaged property. In the absence of material meeting such **green standards**, then the cost for such materials shall be approved in advance in writing by us, and based on our judgment in our sole discretion.

37. **Suit** means a civil proceeding in which damages because of **bodily injury, property damage,** or **environmental damage** to which this policy applies are alleged. **Suit** includes:

- a. an arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our written consent; or
- b. any other alternative dispute resolution proceeding in which such damages is claimed and to which the insured submits with our written consent.

38. **Transportation** means the movement of **cargo** by you, or by a third-party carrier properly licensed to carry such **cargo**, using a **motor vehicle**, rolling stock, aircraft or water craft while in due course of transit from the point of origin until the point of final destination. **Transportation** includes the loading and unloading of **cargo**.

39. **Temporary worker** means a person who is furnished to you to substitute for a permanent employee on leave or to meet seasonal or short-term workload conditions.

40. **Underground storage tank** means any stationary tank or vessel, including any attached pumps, valves and piping connected to the tank or vessel that has at least ten (10) percent of its volume below ground.

**Underground storage tank** does not include:

- a. septic tanks, sump pumps, or water-oil separators;
- b. storm-water or wastewater collection systems; or
- c. tanks that are enclosed within a basement or cellar if the entire tank is upon or above the surface of the floor.

41. **Volunteer worker** means a person who is not your **employee**, and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

42. **Waste disposal facility** means a location to which waste is sent for treatment, storage, processing, recycling or disposal, provided the location is not and was never owned, operated or rented by you or your parent, subsidiary or affiliate, and the location at the time your waste was sent to it:

- a. was properly licensed, as applicable, by state, federal, municipal or provincial authority to conduct waste treatment, storage, processing, recycling or disposal; and
- b. was not listed, or proposed to be listed, on the U.S. Environmental Protection Agency's (EPA's) Final National Priorities List (NPL), or on the Superfund or Comprehensive Environmental Response, Compensation, and Liability Information System (CERCLIS) database, or any state or provincial equivalents to the federal NPL, Superfund or CERCLIS databases.

43. **Wrongful delivery** means the delivery of liquid **cargo** into the wrong receptacle, or to the wrong address, or the mistaken delivery of one liquid **cargo** for another.

44. **Your product** means:

- a. any goods or products, other than real property, manufactured, sold, or distributed by:
  - (1) you;
  - (2) others trading under your name; or
  - (3) a person or organization whose business or assets you have acquired; and

- b. containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

**Your product** includes:

- a. warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of **your product**; and
- b. the providing of or failure to provide warnings or instructions.

**45. Your work** means:

- a. work or operations performed by you or on your behalf;
- b. materials, parts or equipment furnished in connection with such work or operations noted in paragraph a. above;
- c. **transportation** and **wrongful delivery** during **transportation**; and
- d. your use of a **waste disposal facility**.

Solely with respect to paragraphs a. and b. above, **your work** includes:

- a. warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of **your work**;
- b. the providing of or failure to provide warnings or instructions; and
- c. **completed operations**.

In Witness Whereof, the issuing Company has caused this policy to be signed officially below and countersigned on the Declarations page by a duly authorized representative of said Company, to the extent required by applicable law.



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[Kevin Barnett]  
Secretary



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[A. Morris Tooker]  
President

## ENDORSEMENT NO. 1

Effective 12:01 AM Std Time: 10/16/2025  
Policy Number: SF25ECPU00909NC

Issued to: Canopy Roofing, LLC dba Lyons Roofing  
Company: Navigators Specialty Insurance Company

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

### CLAIM REPORTING NOTICE ENDORSEMENT

It is hereby agreed SECTION V. RIGHTS AND DUTIES OF INSURED AND US, paragraph 1. Claim Reporting, is deleted in its entirety and replaced by the following:

#### **1. Claim Reporting**

As a condition precedent to coverage under the policy, if an insured receives a **claim** or becomes aware of a **pollution incident** or **crisis management event** which may give rise to **loss** under this policy, the insured must notify us as soon as practicable utilizing any of the following methods:

- a. electronic mail to our Claims Department at [newloss@navg.com](mailto:newloss@navg.com);
- b. by telephone at 855-444-4796; or
- c. mail to our Danbury Office at:

Navigators Insurance  
Attn: Claims Department  
83 Wooster Heights Road  
Danbury, CT 06810  
United States of America

Notice to us should contain the following information:

- a. The current contact information of the person giving notice to us;
- b. The time, date and location of the **pollution incident** or **crisis management event**;
- c. A description of the circumstances giving rise to the **pollution incident** or **crisis management event** including how and when you became aware of the **pollution incident** or **crisis management event**;
- d. The names and addresses of any injured persons or witnesses; and
- e. All other information which is relevant to the **claim**, **pollution incident**, or **crisis management event**.

Thereafter, the insured is required to submit to us as soon as practicable, but in no event longer than sixty (60) days from the date of our request, any information related to the notice which we may reasonably request including but not limited to any relevant contracts, technical reports, laboratory data, field notes, or documents generated by an insured in the investigation of any potential **loss** hereunder, whether or not these materials are deemed by any insured to be relevant.

If a **claim** is made against any insured, you must promptly send us copies of any demands, notices, summonses or legal papers received in connection therewith.

If any insured reports any **claim** or **pollution incident** under this policy knowing such **claim** or **pollution incident** to be false or fraudulent, as regards to the amount or otherwise, this policy shall become null and void, and all coverage hereunder shall be forfeited.

All other terms, conditions, and exclusions shall remain the same.

## ENDORSEMENT NO. 2

Effective 12:01 AM Std Time: 10/16/2025  
Policy Number: SF25ECPU00909NC

Issued to: Canopy Roofing, LLC dba Lyons Roofing  
Company: Navigators Specialty Insurance Company

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

### **ADDITIONAL INSURED ENDORSEMENT** **(PRIMARY NON-CONTRIBUTORY)**

1. It is hereby agreed that the persons or entities scheduled below qualify as insureds under SECTION II. WHO IS AN INSURED, but only with respect to a **pollution incident** arising out of **your work**.

#### **Scheduled Additional Insureds**

Any clients for whom you perform **your work** but only when required by written contract with your client provided the contract is executed and effective prior to the date the pollution incident first commenced, and only for the lesser of the amount stated in the contract or the applicable limits of liability in this policy.

2. Solely with respect to the additional insureds scheduled above, the following is added to SECTION IV. CONDITIONS, paragraph 16. Other Insurance:

Notwithstanding any other provision to the contrary in this Policy, with respect to the additional insureds scheduled above, and only when required by written contract, the insurance afforded by this policy shall be primary and non-contributory with any other valid and collectible insurance and our obligations are not affected by any such other insurance.

3. Nothing in this endorsement shall operate or be construed to increase any of the limits of liability under this policy.
4. No coverage is afforded under this Policy for any **loss** arising out of a scheduled additional insured's own liability, sole negligence, or willful or deliberate misconduct.

All other terms, conditions, and exclusions shall remain the same.

**ENDORSEMENT NO. 3**

**Effective 12:01 AM Std Time:** 10/16/2025  
**Policy Number:** SF25ECPU00909NC

**Issued to:** Canopy Roofing, LLC dba Lyons Roofing  
**Company:** Navigators Specialty Insurance Company

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

**RELIANCE ON ANOTHER INSURER'S APPLICATION**

It is hereby agreed the following paragraph is added to SECTION IV. CONDITIONS, paragraph 2. Application and Representations:

Any application scheduled below in this endorsement is hereby made a part of the policy to which this endorsement is attached and shall operate as if it is our application, even if such application was completed for another insurer.

**Scheduled Applications**

**UCPM Contractor Pollution Liability Application, signed and dated 10/30/2025, on file with us.**

All other terms, conditions, and exclusions shall remain the same.

## ENDORSEMENT NO. 4

Effective 12:01 AM Std Time: 10/16/2025

Issued to: Canopy Roofing, LLC dba Lyons Roofing

Policy Number: SF25ECPU00909NC

Company: Navigators Specialty Insurance Company

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

### **FULL TERRORISM EXCLUSION (INCLUDING CERTIFIED ACT OF TERRORISM) ENDORSEMENT**

It is hereby agreed as follows:

1. The following exclusion is added to Section I.4. Common Exclusions:

#### **Terrorism**

any claim or loss caused or arising, directly or indirectly, out of any act of terrorism, including, but not limited to, a certified act of terrorism, regardless of any other cause or event that contributes concurrently or in any sequence to the claim or loss.

2. The following definition is added to SECTION VII. DEFINITIONS:

**Certified act of terrorism** means an act that is certified by the Secretary of the Treasury, to be an act of terrorism pursuant to the federal Terrorism Risk Insurance Act. The criteria contained in the Terrorism Risk Insurance Act for a **certified act of terrorism** include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

All other terms, conditions, and exclusions shall remain the same.

**ENDORSEMENT NO. 5**

**Effective 12:01 AM Std Time:** 10/16/2025  
**Policy Number:** SF25ECPU00909NC

**Issued to:** Canopy Roofing, LLC dba Lyons Roofing  
**Company:** Navigators Specialty Insurance Company

**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**

**SCHEDULE OF INSURED SITES ENDORSEMENT**

It is hereby agreed that Item 4. of the Declarations is amended to include the following **insured sites**:

**Schedule of Insured Sites**

| <b>Location #</b> | <b>Location Address</b>              |
|-------------------|--------------------------------------|
| 1                 | 878 West Illini St. Phoenix AZ 85041 |
| 2                 | N/A                                  |
| 3                 | N/A                                  |

All other terms, conditions, and exclusions shall remain the same.



## **PRODUCER COMPENSATION NOTICE**

You can review and obtain information on The Hartford's producer compensation practices at [www.TheHartford.com](http://www.TheHartford.com) or at 1-800-592-5717.